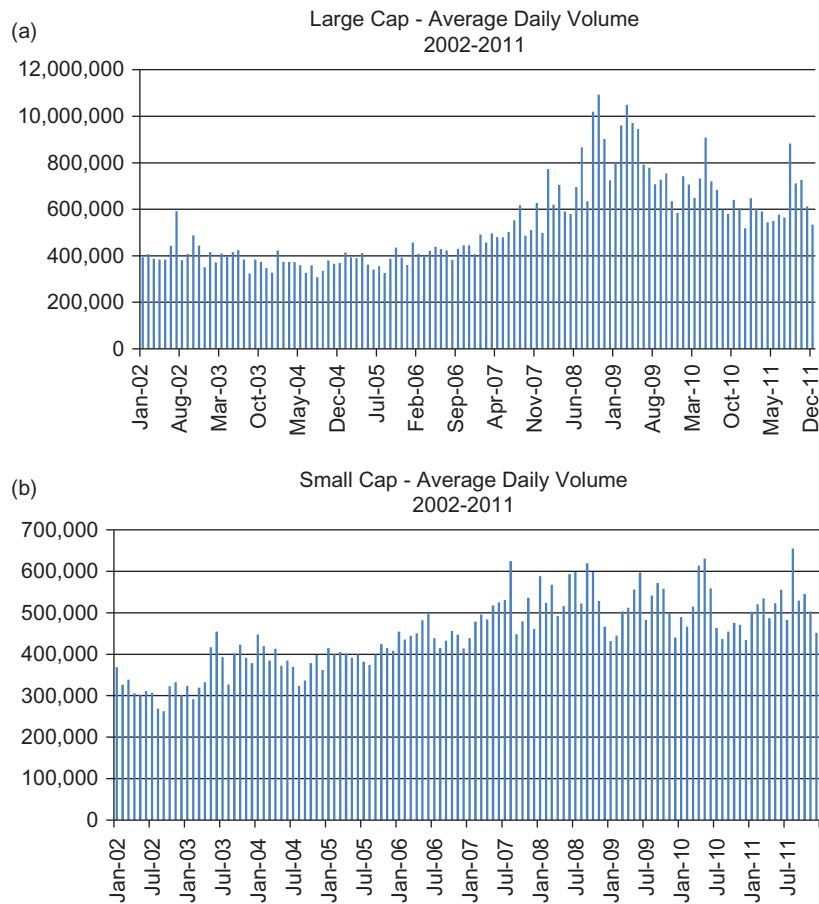




■ **Figure 7.5** (a) Average Daily Volumes by Month for Large Cap Stocks; (b) Average Daily Volumes by Month for Small Cap Stocks.

Analysis:

The monthly volume forecasting analysis is to determine an appropriate relationship to predict the expected change in monthly volume levels. Since the number of trading days will differ in each month due to weekends, holidays, etc., it is important that we adjust for the number of trading days in order to make a fair comparison across time. Our analysis included a one and twelve month autoregressive terms, the change in monthly volatility levels for each market cap category, and the MOM change in SP500 index for both large and small cap stocks.